

THE WALL STREET JOURNAL.

DJIA 42215.80 ▼ 299.29 0.70%

NASDAQ 19521.09 ▼ 0.9%

STOXX 600 542.26 ▼ 0.8%

10-YR.TREAS. ▲ 16/32, yield 4.390%

OIL \$74.84 ▲ \$3.07

GOLD \$3,386.60 ▼ \$9.80

EURO \$1.1482

YEN 145.29

What's News

Business & Finance

- ◆ **Demolitions, conversions** to residential and slowing construction are shrinking the U.S. office glut, putting the amount of office supply on pace to contract for the first time in a quarter of a century. **A1**
- ◆ **The Senate passed** legislation to regulate stablecoins, a key victory for the digital-asset industry after it poured money into last year's election. **A1**
- ◆ **Kraft Heinz said it would** remove artificial dyes from its U.S. products before the end of 2027 as the Trump administration pushes to withdraw the synthetics from the food supply. **B1**
- ◆ **U.S. stocks fell** and oil prices rose as Israel and Iran traded fire, with the S&P 500, Nasdaq and Dow shedding 0.8%, 0.9% and 0.7%, respectively, and U.S. crude futures gaining 4.3% to \$74.84. **B10**
- ◆ **Industrial production** in the U.S. fell more than expected in May, the Fed said, declining by 0.2%, after increasing by 0.1% in April. **A2**
- ◆ **Warner Bros. Discovery** will cut Chief Executive David Zaslaw's pay when it splits in two next year and give him an extra slug of stock options. **B1**
- ◆ **Eli Lilly agreed to acquire** Verve Therapeutics for about \$1 billion upfront, adding a potential treatment for cardiovascular disease to its portfolio. **B1**
- ◆ **Amazon plans to cut** its workforce in the coming years because increasing use of artificial intelligence will eliminate the need for certain jobs. **B4**

World-Wide

- ◆ **Trump called for** Iran's unconditional surrender, issuing bellicose threats against the country and its leadership and suggesting that the U.S. might join Israel's strikes and pivot away from seeking a diplomatic deal. **A1, A9**
- ◆ **European governments,** increasingly frustrated with Israel over the war in Gaza, are giving Israel more diplomatic leeway in its show-down with Iran. **A7**
- ◆ **Two oil tankers collided** near the Strait of Hormuz, as maritime officials warned that navigational systems are being jammed in the region as a result of the Iran-Israel conflict. **A10**
- ◆ **Republicans' tax-and-spending megabill** would increase budget deficits by \$2.8 trillion through 2034 after factoring in the projected economic growth the bill would create, the CBO estimated. **A4**
- ◆ **The draft legislation** would raise the estate-tax exemption to \$15 million from the current nearly \$14 million and make the break permanent. **A4**
- ◆ **Brad Lander,** New York City's comptroller and a mayoral candidate, was arrested at immigration court. **A3**
- ◆ **Ukraine's President Zelenskyy** left a G-7 summit in Canada without the support he had hoped to rally. **A7**
- ◆ **Former U.S. Sen. Bob Menendez** began serving an 11-year sentence for accepting bribes and acting as an agent of Egypt. **A4**

NOTICE TO READERS

WSJ.com and WSJ mobile apps will publish on the Juneteenth federal holiday. The Wall Street Journal print edition won't be published on Thursday.

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Trump Weighs Possible Strike on Iran

President calls on Tehran to surrender, says supreme leader isn't a target 'for now'

WASHINGTON—President Trump issued bellicose threats against Iran and its leadership Tuesday, suggesting the U.S. might join Israel's strikes and pivot away from seeking a diplomatic agreement to restrict Tehran's nuclear program.

Calling for Iran's "UNCONDITIONAL SURRENDER," he said in a Truth Social post

that the U.S. knew Supreme Leader Ayatollah Ali Khamenei's location but wouldn't kill him, "at least for now." He added: "We now have complete and total control of the skies over Iran," implying collaboration with Israel's attacks, even though there is no indication U.S. warplanes are operating over the country.

After Trump met with his national security team at the White House, administration officials said that no decision has been made on whether to proceed with an attack and that a strike was just one of

By Michael R. Gordon,
Tarini Parti
and Alex Leary

the options that was discussed. Even so, it was a sharp escalation of his pressure on Iran, suggesting for the first time that he was contemplating use of U.S. forces not just to curtail Iran's nuclear program but potentially to target its leadership. Since returning to office in January, Trump has said repeatedly that he favored negotiations with Tehran, which says its nuclear activi-

ties are for peaceful purposes. But he has shifted course abruptly in recent days after aides said he had concluded such a deal appeared increasingly unlikely. Since Israel last Friday launched attacks, Trump has aligned himself more closely with Israeli Prime Minister Benjamin Netanyahu's call for the destruction of Iran's nuclear facilities. Israel's attacks in Iran continued Tuesday, and the death toll rose to above 450, according to a human-rights group. The Israeli military said it was conducting strikes in the Teh-

ran area early Wednesday. Iran continued to fire missiles and drones at Israel, where 24 people have died as a result of the attacks. Israel's military issued two warnings about incoming missiles early Wednesday, saying it was trying to in-

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- ◆ **Europe backs Israel despite anger over Gaza.....** A7
- ◆ **Iranian exiles watch with hope tainted by fear.....** A9
- ◆ **With airports shut, Israelis try to return home.....** A9
- ◆ **Heard on the Street: China hooked on Iran oil.....** B11

Florida Panthers Capture Hockey's Stanley Cup



NO, CANADA: The Panthers defeated the Edmonton Oilers 5-1 Tuesday to win their second consecutive Stanley Cup. Canada, where hockey is the national sport, hasn't had a winner since Montreal in 1993. The Panthers' Aleksander Barkov raises the cup.

Workplace Raids Draw Business Flak

As deportations hit economy, pushback complicates White House priorities

When federal agents raided Glenn Valley Foods in Omaha, Neb., last Tuesday, they arrested about 75 of the meat processor's workers, roughly half of the produc-

By Arian Campo-Flores,
Rebecca Picciotto,
Patrick Thomas
and Tarini Parti

tion line. The following day, the plant was operating at about 15% of capacity, and a skeleton crew strained to fill orders.

Chief Executive Gary Rohwer can't see a future

that doesn't include immigrant workers. "Without them, there wouldn't be an industry," he said.

President Trump's aggressive deportation push has slammed into an economic reality: Key industries in the U.S. rely heavily on workers living in the U.S. illegally, many of them for decades. That presents a major challenge for the administration unfolding in real time, with business leaders urging a softer approach while anti-immigration hard-liners demand more deportations.

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How an Evangelical Pastor Became Washington's 'It' Tailor

Nathaniel Rios wanted to start a church. Now Republicans line up for his suits.

By MAGGIE SEVERNS

The MAGA movement has its own private club and restaurant in D.C. Now Trump acolytes have their own tailor, too.

A Pentecostal pastor from Mississippi has emerged as the sartorial cog in Washington's new Republican machine.

From his row house near Capitol Hill, Nathaniel Rios serves a rapidly expanding roster of lawmakers, aides and White House staff who tend to favor snug fits and lots of pro-Trump flair.

Trump aide Justin Caporale sports one with "America First" embroidered above the

inner breast pocket—and a replica print of Emanuel Leutze's "Washington Crossing the Delaware" lining the inside. With a closet full of navy blue, Caporale said, "it just felt right."

Some customers want a jacket lined with Donald Trump's mug shot. "It's a show of appreciation," said Raheem Kassam, who co-owns the MAGA world's favorite French bistro and proudly owns a mug shot suit.

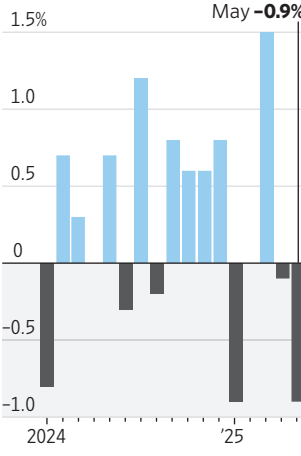
Former House Speaker Kevin McCarthy has a Rios-crafted jacket lined with a photo of himself presiding over the House floor. McCarthy said he originally conceived of the

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Retail Sales Fell in May

Consumer spending dropped more steeply than forecast in May from a month earlier, on a decline in auto sales. **A2**

U.S. retail sales, change from a month earlier



Note: Seasonally adjusted
Source: Commerce Department

New Medicaid Cuts Stir More Trouble For GOP Tax Plan

WASHINGTON—Senate Republicans' plan to extract more savings from Medicaid as part of their revised tax and spending package triggered a backlash within the party, raising

By Siobhan Hughes,
Richard Rubin
and Olivia Beavers

concerns that leaders could miss their self-imposed deadline of getting the bill to President Trump's desk by July 4.

Republicans remain divided on a series of issues, ranging from healthcare spending to deficit reduction to clean energy tax credits to state and

local tax deductions. A significant GOP revolt on any of these could prove fatal for the legislation, which must clear the 53-47 GOP-controlled Senate and then be approved again in the narrowly divided Republican-run House.

The tax and health portions of the measure, unveiled late Monday, would make it harder for states to shift Medicaid costs onto the U.S. government. The plan contains a provision

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- ◆ **GOP plan hikes deficits, analysis says.....** A4
- ◆ **Bill would shield wealthy estates from taxes.....** A4

Office Space Set to Shrink For First Time in 25 Years

By PETER GRANT

The U.S. has a glut of office buildings. That longstanding surplus is finally shrinking.

The number of property demolitions and the pace of office conversions into residential buildings are accelerating. Developers, meanwhile, have greatly slowed new office construction because of questions about future tenant demand.

As a result, the amount of office supply in the U.S. is on pace this year to contract for the first time in a quarter of a century, according to real-estate-services firm CBRE Group.

If this trend holds, it would reverse a decadeslong office-construction spree that flooded the U.S. with too much unwanted workspace. Developers—lured by federal

tax breaks, low interest rates and inflated demand from unprofitable startups—built more office towers than cities needed. The rise of remote work during the Covid-19 pandemic aggravated this excess supply, causing office-vacancy rates to rise to record highs and building values to plummet.

Conversions of office space into apartments held an obvious appeal. But the cost of acquiring an office building and addressing structural obstacles made these conversions too expensive to work in most cases.

Analysts had expected the office glut to take many years to shrink, not unlike the decade-plus it took for many U.S. cities to work off their excess of retail properties af-

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THE FUTURE OF EVERYTHING

THE NEW ROAD TRIP R1-10